

Student Number

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PYMBLE LADIES' COLLEGE

2021
TRIAL HIGHER SCHOOL CERTIFICATE
EXAMINATION

Economics-

General Instructions

- Reading time – 5 minutes
- Working time – 3 hours
- Write using black pen
- Write your Student Number at the top of this page, the Multiple-Choice Answer sheet, and the Answer Booklets provided.

Total marks – 100

Section I Pages 3-9 **20 marks**

- Attempt Questions 1-20
- Allow about 35 minutes for this part

Section II Pages 11-18 **40 marks**

- Attempt Questions 21-24
- Allow about 1 hour and 15 minutes for this section

Section III Pages 19-20 **20 marks**

- Attempt either Question 25 OR Question 26
- Allow about 35 minutes for this section

Section IV Page 21 **20 marks**

- Attempt either Question 27 OR Question 28
- Allow about 35 minutes for this section

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Section I

20 marks

Attempt Questions 1-20

Allow about 35 minutes for this section

Use the Multiple Choice Answer Sheet provided on page 23 of the exam paper.

Select the alternative A, B, C, or D that best answers the question. Fill in the response oval completely.

Sample $2 + 4 =$ (A) 2 (B) 6 (C) 8 (D) 9

A ☐ B ☒ C ☐ D ☐

If you think you have made a mistake, put a cross through the incorrect answer and fill in the new answer.

A ☒ B ☒ C ☐ D ☐

If you have changed your mind and have crossed out what you consider to be the correct answer, then indicate this by writing the word *correct* and drawing an arrow as follows:

A ☒ B ☒ C ☐ D ☐

correct
↖

1. Which of the following is the primary source of income for the greatest proportion of Australian households?

- A Transfer payments
- B Profits and dividends
- C Interest on saving and superannuation
- D Wages and salaries

2. Which of the following is NOT an economic argument in favour of trade protection?

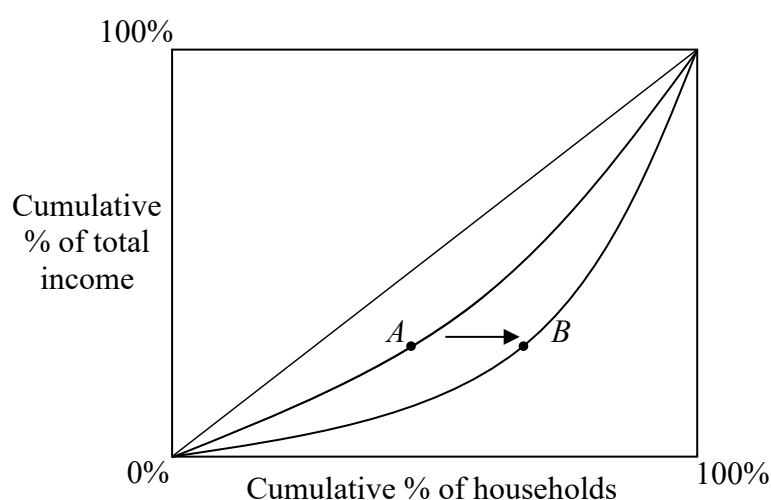
- A Specialisation and economies of scale
- B Defence and self-sufficiency
- C Measures to prevent dumping
- D The infant industry argument

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- 3 A fall in which of the following would lead to an increase in net foreign debt, other things being equal?
- A Global economic growth
 - B Households' marginal propensity to save
 - C Domestic official interest rates
 - D International competitiveness

The following diagram shows a movement in a Lorenz Curve from Point A to Point B:



- 4 Which of the following would be an impact of this change on the economy?
- A An increase in the Gini Coefficient over 1.0
 - B A fall in the level of income inequality
 - C An increased gap between the first and fifth quintiles of income earners
 - D A fall in the Gini Coefficient
- 5 Which one of the following would automatically occur in response to an upswing in the business cycle ?
- A A reduction in the tax free threshold
 - B An increase in company taxation receipts
 - C An exemption of more goods from the goods and services tax (GST)
 - D An increase in the top marginal tax rate on personal income

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The following table shows labour force data for an hypothetical economy

Year	Population (millions)	Working age population (millions)	Number employed (millions)	Number unemployed (millions)	Number of hidden unemployed (millions)
1	10	5	2	1	1
2	18	8	4	2	2
3	28	15	7	3	4
4	40	20	12	4	3

6 In which year is the unemployment rate 33% and the participation rate 75% ?

- A Year 1
- B Year 2
- C Year 3
- D Year 4

7 Technological advancements are most likely to lead to

- A. A decrease in the general level of prices and an increase in real GDP.
- B. A decrease in the general level of prices and a decrease in real GDP.
- C. An increase in the general level of prices and a decrease in real GDP.
- D. An increase in the general level of prices and an increase in real GDP.

Consider the following data showing the balance of payments for an economy over two years

	Year 1 (billions)	Year 2 (billions)
Exports of goods	\$110	\$75
Imports of goods	\$120	\$85
Net services	-\$25	-\$30
Net primary income	-\$80	-\$90
Net secondary income	\$10	-\$5
Capital account	\$10	\$20
Financial account	\$95	\$115

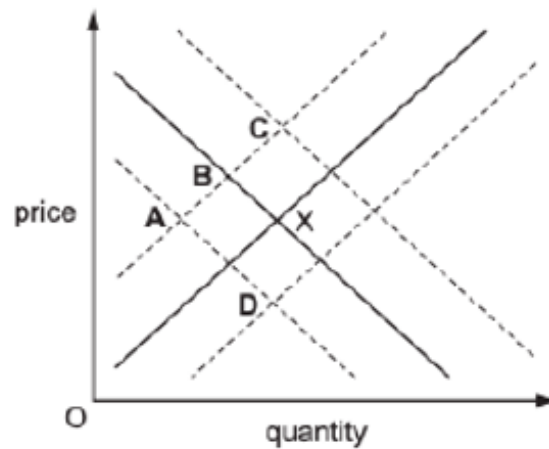
8 Based on this information, which of the following statements is true?

- A The balance on goods and services is unchanged
- B The current account deficit decreased from Year 1 to Year 2
- C The current account deficit increased from Year 1 to Year 2
- D The Capital and Financial Account surplus was lower in Year 2

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A government withdraws the subsidy paid to tomato producers, and the tomato industry implements a successful advertising campaign promoting the health benefits of eating tomatoes.



- 9 This would be likely to change the equilibrium price in the tomato market, shown on the diagram above, from point X to which point?
- A Point D
 - B Point C
 - C Point B
 - D Point A
- 10 Which of the following is most likely to be an example of a supply- side improvement in the economy?
- A An increase in consumer confidence
 - B An increase in factor immobility
 - C An increase in exports
 - D An increase in business innovation
- 11 In 1983 Australia moved from a fixed to a floating exchange rate.
- Which of the following has been a disadvantage of the floating exchange rate?
- A Lower foreign currency reserves
 - B Higher foreign currency reserves
 - C Increased exchange rate volatility
 - D Decreased exchange rate volatility

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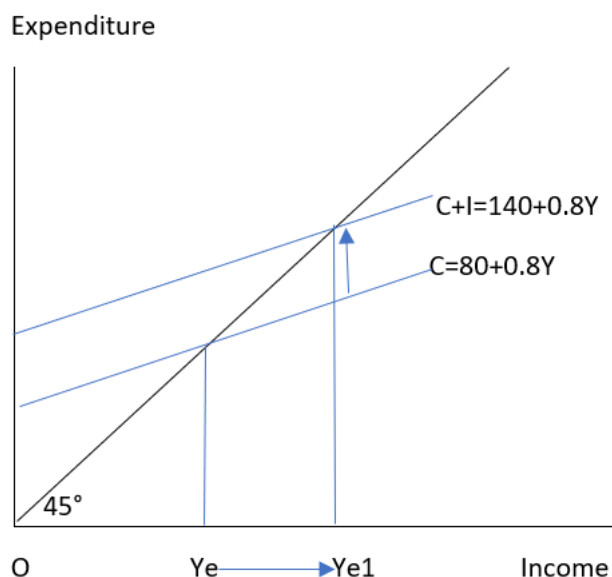
The diagram below shows Australia's Terms of Trade



12 Which of the following is generally true for the period 2014 – 2016?

A	Export prices have fallen relative to import prices	Terms of Trade has risen
B	Import prices have risen relative to export prices	Terms of Trade has fallen
C	Export prices have risen relative to import prices	Terms of Trade has risen
D	Import prices have fallen relative to export prices	Terms of Trade has fallen

The following diagram shows a 3 sector economy's income and expenditure pattern



13 By how much does income increase between Ye and Ye1?

- A 300
- B 60
- C 200
- D 75

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- 14 Which of the following statements is true regarding the nature of goods?
- A Goods with negative externalities are usually over-produced by the free market
 - B Goods which are rival and excludable are best provided by the government
 - C Non-rival and excludable goods are associated with the issue of free riding
 - D Private property rights do not exist if the good has negative externalities
- 15 Australia has been achieving current account surpluses over the past two years. Which of the following has made a major contribution to this balance of payments outcome?
- A Domestic investment levels exceeding the foreign savings levels
 - B Declining iron ore prices leading to an improved term of trade
 - C The balance of goods and services surplus exceeding the level of the deficit in net primary income
 - D Increased capital account debits relative to financial account credits
- 16 In general, how has globalisation affected quality of life and rates of inflation throughout the global economy?

	Quality of life	Rates of inflation
A	Increased	Increased
B	Decreased	Increased
C	Increased	Decreased
D	Decreased	Decreased

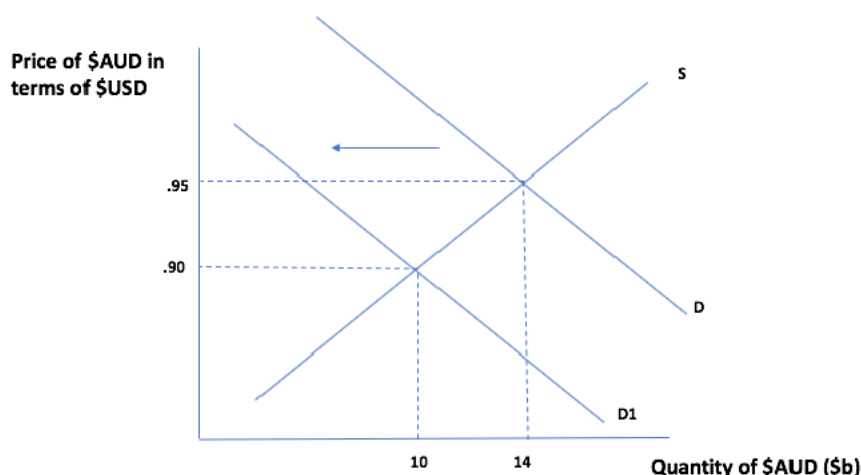
- 17 Which of the following are both characteristics of, and reasons for differences between developing and advanced economies?

	Developing economies	Advanced economies
A	Low per capita incomes	Strong financial systems
B	Strong financial systems	Well established infrastructure
C	High levels of savings	Low per capita incomes
D	Well established infrastructure	High levels of saving

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The diagram below shows the demand and supply for the Australian dollar.



- 18 Which of the following actions may have led to the change in the graph above?
- A The sale of foreign exchange by the Reserve Bank of Australia
 - B A decrease in the purchase of Australian farms by foreign companies
 - C An increase in foreign loans by Australian banks to businesses overseas
 - D A decrease in the dividend returns from companies listed on the ASX to foreigners
- 19 The RBA decides to widen the interest rate corridor from 0.25% either side of the target cash rate to 0.4% either side of the target rate. All other things being equal, which of the following statements is true?
- A Banks have less incentive to leave money in their Exchange Settlement Accounts (ESAs)
 - B Banks have more incentive to leave money in their Exchange Settlement Accounts (ESAs)
 - C Banks have less incentive to move money from their ESAs into the cash market
 - D There has been no change to the incentive of banks to leave money in their ESAs
20. Which of the following is an example of a micro economic reform policy that is discretionary and expansionary?
- A An increase in protection
 - B An increase in the tax-free threshold
 - C Reduction in competition in the public sector
 - D An increase in unemployment expenditure due to recession

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End of section I

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Section II

Economics

40 marks

Attempt all questions

Write clearly in black pen

Allow about 1 hour and 15 minutes for this section

Question 21 (10 marks)

A) Distinguish between a trading bloc and a free trade agreement

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B) Outline TWO drivers of globalisation.

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C) Describe the impact of the G20 on the global economy.

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Question 21 continues over the page

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- D) Discuss using examples, TWO reasons for differences in economic development between nations. **4**

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End of Question 21

Question 22 (10 marks)

A) Outline how consumer price inflation is measured in Australia.

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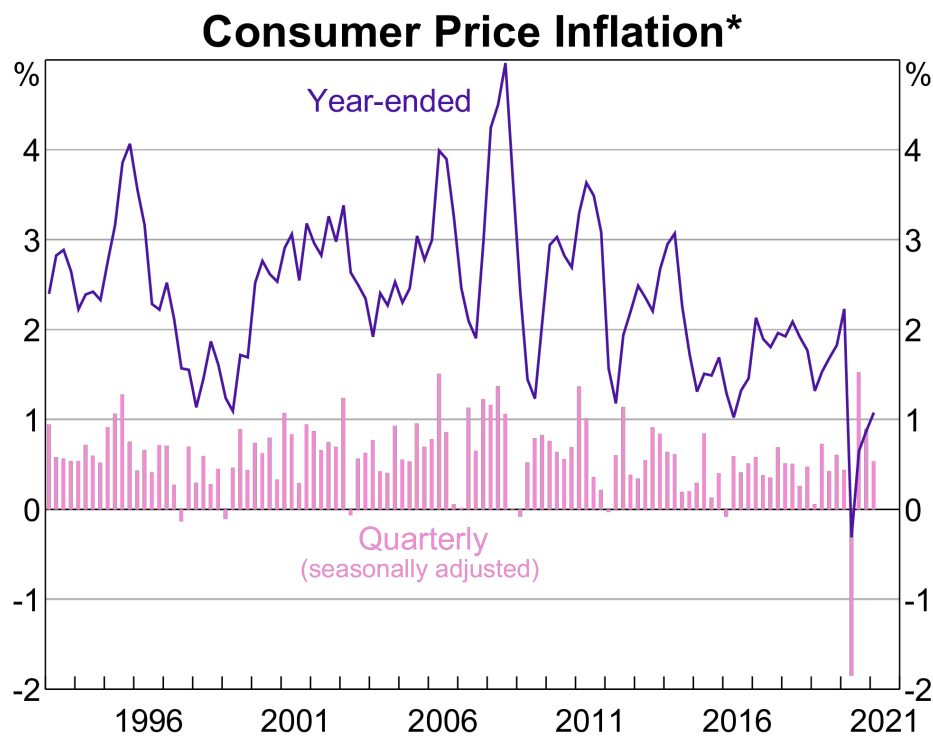
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* Excludes interest charges prior to the September quarter 1998;
adjusted for the tax changes of 1999–2000

Sources: ABS; RBA

B) With reference to the graph above, discuss whether the government has achieved its target inflation rate in the last two years.

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C) Outline one cost and one benefit of inflation.

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D) Explain one AD (aggregate demand) factor and one AS (aggregate supply) factor that might have caused the current trend in the rate of inflation in Australia.

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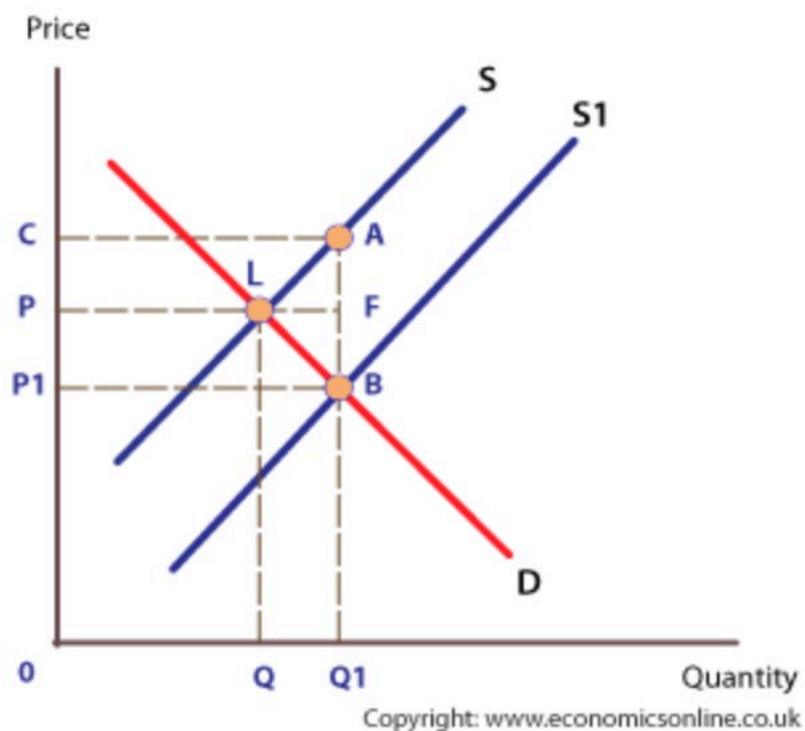
End of Question 22

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Question 23 (10 Marks)

The diagram below shows the effects of a subsidy.



A) On the diagram, clearly show the size of the subsidy. 1

B) Outline ONE disadvantage of a Free Trade Agreement 2

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Question 23 continues over the page

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C) Explain the benefits of a government using a subsidy instead of a tariff.

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D) Discuss Australia's involvement in ONE regional trade agreement.

Regional Trade Agreement: _____

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End of Question 23

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Question 24 (10 Marks)

Effective date	Change	Cash rate target
4th November 2020	-0.15	0.10
20th March 2020	-0.25	0.25
4th March 2020	-0.25	0.50
2 ND October 2019	-0.25	0.75

Source - www.rba.gov.au/statistics

- A) Using the table above state the economic term used to describe the movement in monetary policy.

1

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- B) What is meant by the cash rate?

2

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- C) Explain how and when the Reserve Bank of Australia would tighten Monetary policy.

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Question 24 continues over page

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D) Discuss the effectiveness of using Monetary policy as a macroeconomic tool. 4

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END OF SECTION II

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Student number

Economics

20 marks

Attempt either Question 25 OR Question 26

Allow about 35 minutes for this section

Answer the question in a writing booklet. Extra writing booklets are available.

In your answer you will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
- use the information provided
- apply relevant economic terms, concepts, relationships and theory
- present a sustained, logical and cohesive response

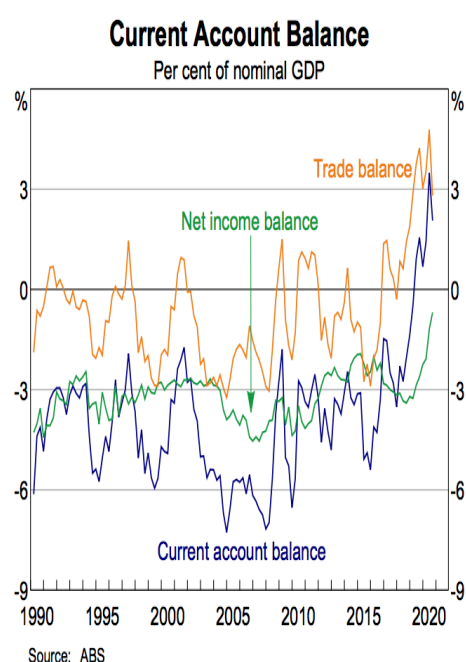
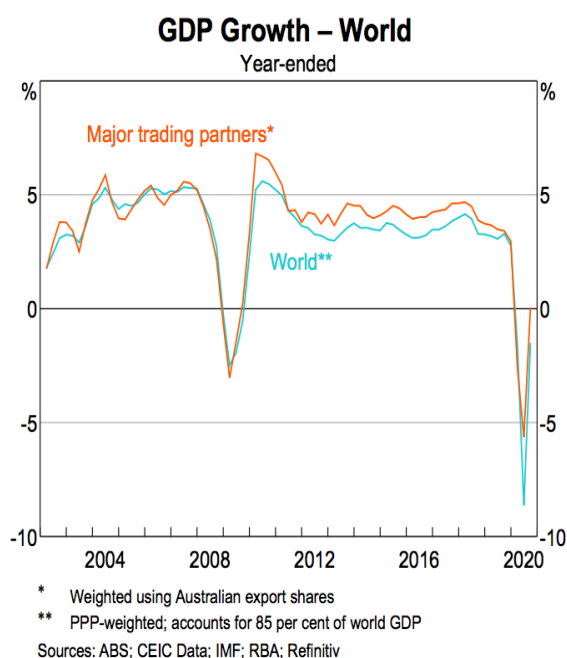
Question 25 (20 marks)

Analyse the impact of changes in the global economy on the Balance of Payments.

In your response, you should refer to the economic information provided.

“The outlook for the global economy has improved over recent months due to the ongoing rollout of vaccines. While the path ahead is likely to remain bumpy and uneven, there are better prospects for a sustained recovery than there were a few months ago. Global trade has picked up and commodity prices have increased over recent months. Even so, the recovery remains dependent on the health situation and on significant fiscal and monetary support. Inflation remains low and below central bank targets.”

Source – www.rba.gov.au RBA statement March 2021



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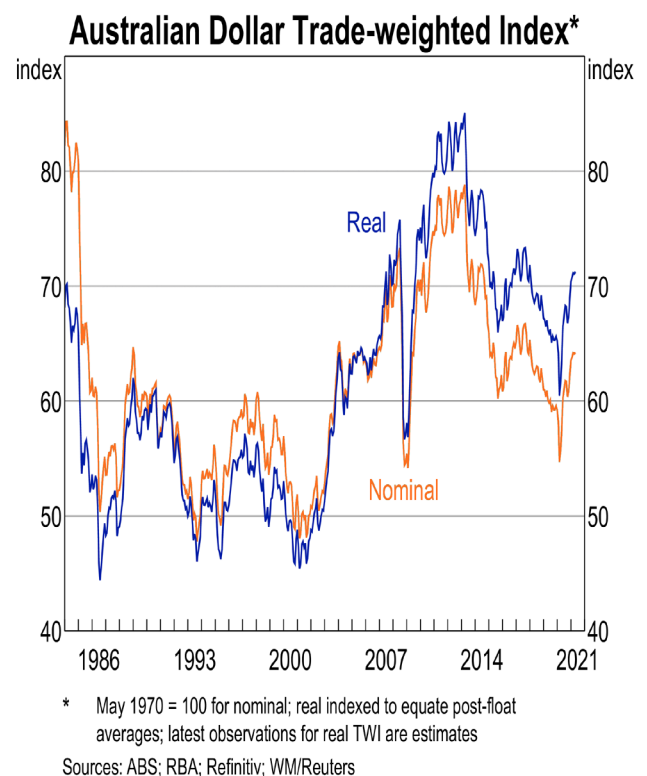
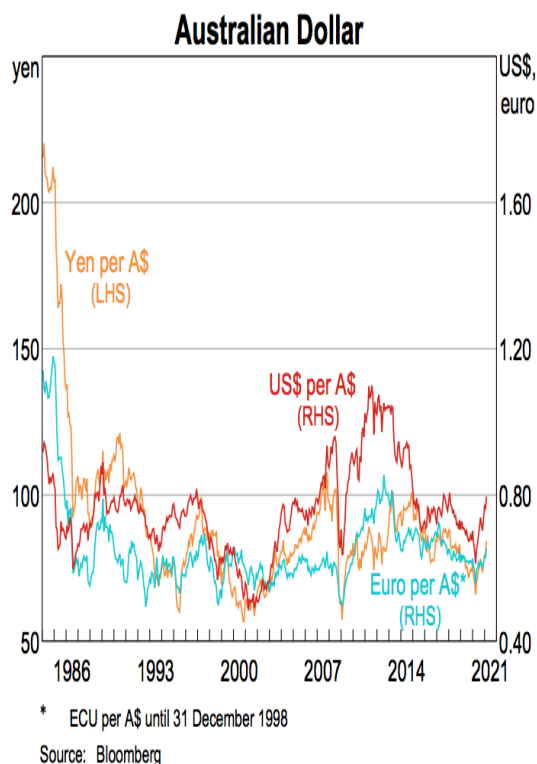
OR

Question 26 (20 marks)

Analyse the effects of fluctuations in the exchange rate on the Australian economy.
In your response, you should refer to the economic information provided.

In 2021, the trend for the Australian dollar is rising, if you agree with the top 4 banks in Australia. ANZ, CBA, NAB and Westpac are all predicting the Australian dollar to average above 75 cents against the US dollar in 2021, about 5 cents higher than in 2020. The reasons? A vaccine for the coronavirus is looking more and more likely, which will boost sentiment and growth globally. The Australian government will also extend its stimulus spending in 2021, which will help support the economy and the AUD.

Source - <https://www.thecurrencyshop.com.au/forecast/australian-dollar-forecast-2021>



END OF SECTION III

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Section IV

Economics

20 marks

Attempt either Question 27 OR Question 28

Allow about 35 minutes for this section

Answer the question in a SEPARATE writing booklet. Extra writing booklets are available.

In your answer you will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - apply relevant economic information, terms, concepts, relationships and theory
 - present a sustained, logical and cohesive response
-

Question 27 (20 marks)

Evaluate the effectiveness of fiscal policy in achieving the government's income distribution and employment objectives.

OR

Question 28 (20 marks)

Evaluate the policy options available to manage environmental sustainability on a domestic and global level.

END OF PAPER

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ECONOMICS – MULTIPLE-CHOICE ANSWER SHEET

ATTEMPT ALL QUESTIONS

Question	1	A ☐	B ☐	C ☐	D ☐
	2	A ☐	B ☐	C ☐	D ☐
	3	A ☐	B ☐	C ☐	D ☐
	4	A ☐	B ☐	C ☐	D ☐
	5	A ☐	B ☐	C ☐	D ☐
	6	A ☐	B ☐	C ☐	D ☐
	7	A ☐	B ☐	C ☐	D ☐
	8	A ☐	B ☐	C ☐	D ☐
	9	A ☐	B ☐	C ☐	D ☐
	10	A ☐	B ☐	C ☐	D ☐
	11	A ☐	B ☐	C ☐	D ☐
	12	A ☐	B ☐	C ☐	D ☐
	13	A ☐	B ☐	C ☐	D ☐
	14	A ☐	B ☐	C ☐	D ☐
	15	A ☐	B ☐	C ☐	D ☐
	16	A ☐	B ☐	C ☐	D ☐
	17	A ☐	B ☐	C ☐	D ☐
	18	A ☐	B ☐	C ☐	D ☐
	19	A ☐	B ☐	C ☐	D ☐
	20	A ☐	B ☐	C ☐	D ☐